National Bank

A Subsidiary of KCB Group PLC

THE BOARD OF DIRECTORS OF NATIONAL BANK OF KENYA LIMITED HEREBY ANNOUNCE THE UNAUDITED RESULTS FOR THE PERIOD ENDED 30 SEP 2019

I. STATEMENT OF FINANCIAL POSITION
As At 30 September 2019

		BANK 30-Sep-18 KShs'000 Un-audited	BANK 31-Dec-18 KShs'000 Audited	BANK 31-Mar-19 KShs'000 Un-audited	BANK 30-Jun-19 KShs'000 Un-audited	BANK 30-Sep-19 KShs'000 Un-audited	GROUP 30-Sep-18 KShs'000 Un-audited	GROUP 31-Dec-18 KShs'000 Audited	GROUP 31-Mar-19 KShs'000 Un-audited	GROUP 30-Jun-19 KShs'000 Un-audited	GROUP 30-Sep-19 KShs'000 Un-audited
A	**ASSETS**										
1	Cash (both Local & Foreign)	1,097,354	1,744,785	1,128,849	1,040,460	1,326,594	1,097,354	1,744,785	1,128,849	1,040,460	1,326,594
2	Balances due from Central Bank of Kenya	8,062,571	4,372,926	3,619,594	15,966,321	5,559,634	8,062,571	4,372,926	3,619,594	15,966,321	5,559,634
3	Kenya Government and other securities held for dealing purposes	-	-	-	-	-	-	-	-	-	-
4	Financial Assets at fair value through profit and loss	-	-	-	-	-	-	-	-	-	-
5	**Investment Securities:(a+b)**	41,001,443	46,310,604	39,018,080	34,043,729	36,980,707	41,011,964	46,341,772	39,050,231	34,077,392	37,013,689
	a) Held to Maturity:(i+ii)	18,626,673	18,178,199	18,410,400	17,904,188	17,457,598	18,630,121	18,178,199	18,420,001	17,910,127	17,457,598
	i. Kenya Government securities	18,626,673	18,178,199	18,410,400	17,904,188	17,457,598	18,630,121	18,178,199	18,420,001	17,910,127	17,457,598
	ii. Other securities	-	-	-	-	-	-	-	-	-	-
	b) Available for sale:(i+ii)	22,374,770	28,132,405	20,607,680	16,139,541	19,523,109	22,381,843	28,163,573	20,630,230	16,167,265	19,556,091
	i. Kenya Government securities	22,374,770	28,132,405	20,607,680	16,139,541	19,523,109	22,381,843	28,163,573	20,630,230	16,167,265	19,556,091
	ii. Other securities	-	-	-	-	-	-	-	-	-	-
6	Deposits and balances due from local banking institutions	1,223,790	1,936,693	1,341,684	2,687,208	1,075,160	1,223,790	1,936,693	1,341,684	2,687,208	1,075,160
7	Deposits and balances due from banking institutions abroad	609,500	131,527	302,595	395,728	1,245,784	609,500	131,527	302,595	395,728	1,245,784
8	Tax recoverable	470,833	463,362	458,370	458,685	467,834	460,121	459,476	435,948	441,568	451,778
9	Loans and advances to customers (net)	48,002,783	47,778,777	45,925,331	47,332,487	47,852,523	48,002,783	47,778,777	45,925,331	47,332,487	47,852,523
10	Balances due from banking institutions in the group	-	-	-	-	-	-	-	-	-	-
11	Investments in associates	408,860	366,822	426,420	474,569	479,465	408,860	366,822	426,420	474,569	479,465
12	Investments in subsidiary companies	19,963	19,963	19,963	19,963	19,963	-	-	-	-	-
13	Investments in joint ventures	-	-	-	-	-	-	-	-	-	-
14	Investment properties	-	-	-	-	-	-	-	-	-	-
15	Property and equipment	3,380,828	3,998,390	4,531,514	4,367,117	4,276,474	3,382,523	3,998,833	4,531,354	4,367,515	4,276,863
16	Prepaid lease rentals	-	-	-	-	-	-	-	-	-	-
17	Intangible assets	1,242,285	1,300,050	1,321,193	1,241,539	1,148,139	1,256,735	1,314,221	1,335,364	1,255,710	1,162,310
18	Deferred tax asset	1,872,177	2,289,527	2,190,256	2,198,433	2,192,185	1,872,359	2,290,168	2,190,417	2,200,664	2,192,562
19	Retirement benefit asset	-	-	-	-	-	-	-	-	-	-
20	Other assets	5,342,434	4,430,017	4,781,418	4,696,079	4,592,262	5,061,782	4,113,105	4,454,377	4,355,896	4,527,168
21	**TOTAL ASSETS**	112,734,821	115,143,443	105,065,267	114,922,318	107,216,724	112,450,342	114,849,105	104,742,164	114,595,518	107,163,530
B	**LIABILITIES**										
22	Balances due to Central Bank of Kenya	3,993,120	-	-	7,448,550	5,958,840	3,993,120	-	-	7,448,550	5,958,840
23	Customer deposits	93,166,126	99,223,459	89,520,567	91,771,954	82,653,564	92,814,008	98,865,959	89,101,230	91,331,602	82,512,836
24	Deposits and balances due to local banking institutions	3,505,649	3,446,015	3,282,329	3,606,812	4,881,936	3,505,649	3,446,015	3,282,329	3,606,812	4,881,936
25	Deposits and balances due to foreign banking institutions	2,336,737	2,574,715	2,228,356	1,518,028	2,392,822	2,336,737	2,574,715	2,228,356	1,518,028	2,392,822
26	Other money market deposits	-	-	-	-	-	-	-	-	-	-
27	Borrowed funds	-	-	-	-	-	-	-	-	-	-
28	Balances due to banking institutions in the group	-	-	-	-	-	-	-	-	-	-
29	Tax payable										
30	Dividends payable	24,315	24,315	24,315	24,315	24,315	24,315	24,315	24,315	24,315	24,315
31	Deferred tax liability	-	-	-	-	-	-	-	-	-	-
32	Retirement benefit liability	-	-	-	-	-	-	-	-	-	-
33	Other liabilities	2,789,447	2,939,221	2,861,270	3,308,785	4,076,255	2,793,721	2,965,247	2,880,279	3,342,117	4,095,435
34	**TOTAL LIABILITIES**	105,815,394	108,207,725	97,916,837	107,678,444	99,987,732	105,467,550	107,876,251	97,516,509	107,271,424	99,866,184
C	**SHAREHOLDERS' FUNDS**										
35	Paid up /Assigned capital	7,368,906	7,368,906	7,368,906	7,368,906	7,368,906	7,368,906	7,368,906	7,368,906	7,368,906	7,368,906
36	Share premium/(discount)	-	-	-	-	-	-	-	-	-	-
37	Revaluation reserves	660,926	1,261,907	1,256,148	1,250,390	1,244,177	660,926	1,261,906	1,256,148	1,250,390	1,244,177
38	Retained earnings/Accumulated losses	(5,063,449)	(4,892,016)	(5,100,120)	(5,913,102)	(5,765,953)	(5,000,084)	(4,854,776)	(5,022,792)	(5,833,561)	(5,698,037)
39	Statutory loan loss reserves	3,821,740	3,333,324	3,595,944	4,456,204	4,560,270	3,821,740	3,333,324	3,595,944	4,456,204	4,560,270
40	Other Reserves	131,304	(136,403)	27,552	81,746	(178,408)	131,304	(136,506)	27,449	82,155	(177,970)
41	Proposed dividends	-	-	-	-	-	-	-	-	-	-
42	Capital grants	-	-	-	-	-	-	-	-	-	-
43	**TOTAL SHAREHOLDERS' FUNDS**	6,919,427	6,935,718	7,148,430	7,243,874	7,228,992	6,982,792	6,972,854	7,225,655	7,324,094	7,297,346
44	Minority Interest	-	-	-	-	-	-	-	-	-	-
45	**TOTAL LIABILITIES & SHAREHOLDERS' FUNDS**	112,734,821	115,143,443	105,065,267	114,922,318	107,216,724	112,450,342	114,849,105	104,742,164	114,595,518	107,163,530

II. STATEMENT OF COMPREHENSIVE INCOME
For the period ended 30 September 2019

		BANK 30-Sep-18 KShs'000 Un-audited	BANK 31-Dec-18 KShs'000 Audited	BANK 31-Mar-19 KShs'000 Un-audited	BANK 30-Jun-19 KShs'000 Un-audited	BANK 30-Sep-19 KShs'000 Un-audited	GROUP 30-Sep-18 KShs'000 Un-audited	GROUP 31-Dec-18 KShs'000 Audited	GROUP 31-Mar-19 KShs'000 Un-audited	GROUP 30-Jun-19 KShs'000 Un-audited	GROUP 30-Sep-19 KShs'000 Un-audited
1	**Interest Income**										
1.1	Loans and advances	3,086,557	4,427,606	1,169,496	2,195,733	3,252,346	3,086,557	4,427,606	1,169,496	2,195,733	3,271,106
1.2	Government securities	3,184,240	4,431,954	1,178,895	2,209,500	3,317,300	3,184,547	4,432,457	1,179,879	2,211,027	3,319,448
1.3	Deposits and placements with banking institutions	49,641	52,829	8,286	18,190	28,490	49,641	52,829	8,286	18,190	28,490
1.4	Other Interest Income	-	-	-	-	-	-	-	-	-	-
1.5	**TOTAL INTEREST INCOME**	6,320,438	8,912,389	2,356,677	4,423,423	6,598,136	6,320,745	8,912,892	2,357,661	4,424.950	6,619,044
2	**Interest Expense**										
2.1	Customer deposits	2,001,507	2,589,995	611,944	1,208,346	1,649,962	1,983,852	2,565,274	604,464	1,194,399	1,649,962
2.2	Deposits and placements from banking institutions	214,676	319,688	28,165	101,270	298,065	214,676	319,688	28,165	101,270	298,065
2.3	Other interest expenses	-	-	-	-	69,326	-	-	-	-	69,326
2.4	**TOTAL INTEREST EXPENSES**	2,216,183	2,909,683	640,109	1,309,616	2,017,353	2,198,528	2,884,962	632,629	1,295,669	2,017,353
3	**NET INTEREST INCOME**	4,104,255	6,002,706	1,716,568	3,113,807	4,580,783	4,122,217	6,027,930	1,725,032	3,129,281	4,601,691
4	**Non-Interest Income**										
4.1	Fees and commissions on loans and advances	96,204	38,964	2,056	62,831	90,005	96,204	38,964	2,056	62,831	90,005
4.2	Other fees and commissions	791,457	1,147,540	287,362	564,764	879,385	831,053	1,190,202	287,362	564,764	879,385
4.3	Foreign exchange trading income (loss)	404,914	601,114	145,644	241,476	363,358	404,914	601,114	145,644	241,476	363,358
4.4	Dividend Income	170,000	162,867	-	-	33,800	-	1,367	-	-	5,300
4.5	Other Income	178,969	168,601	48,629	(142,933)	55,569	178,165	159,297	66,605	(116,662)	103,151
4.6	**TOTAL NON-INTEREST INCOME**	1,641,544	2,119,086	483,691	726,138	1,422,117	1,510,336	1,990,944	501,667	752,409	1,441,199
5	**TOTAL OPERATING INCOME**	5,745,799	8,121,792	2,200,259	3,839,945	6,002,900	5,632,553	8,018,874	2,226,699	3,881,690	6,042,890
6	**Other Operating Expenses**										
6.1	Loan loss provision	(232,680)	185,099	357,097	98,269	(30,756)	(232,680)	185,099	357,097	98,269	(30,756)
6.2	Staff costs	2,918,608	3,855,823	997,115	2,072,847	3,041,333	2,917,825	3,864,570	974,137	2,069,920	3,026,024
6.3	Directors' emoluments	36,703	28,535	9,721	17,745	36,188	36,703	28,535	9,721	17,745	36,188
6.4	Rental charges	310,098	443,186	61,903	99,535	149,937	310,098	443,714	61,938	99,675	150,154
6.5	Depreciation charge on property and equipment	419,140	549,430	176,490	380,901	529,737	419,064	549,616	176,515	380,949	529,794
6.6	Amortisation charges	338,276	475,506	89,553	194,920	308,290	338,276	475,506	89,553	194,920	308,290
6.7	Other operating expenses	1,393,960	1,996,711	408,334	860,641	1,343,308	1,378,689	2,015,483	400,195	844,855	1,347,725
6.8	**Total Operating Expenses**	5,184,105	7,534,290	2,100,213	3,724,858	5,378,037	5,167,975	7,562,523	2,069,156	3,706,333	5,367,419
7	**PROFIT BEFORE TAX AND EXCEPTIONAL ITEMS**	561,694	587,502	100,046	115,087	624,863	464,578	456,351	157,543	175,357	675,471
8	Exceptional items	530,829	536,587	-	-	124,226	535,494	541,252	-	-	124,226
9	**Profit after exceptional items**	30,865	50,915	100,046	115,087	500,637	(70,916)	(84,901)	157,543	175,357	551,245
10	Current tax	(9,090)	(39,881)	(4,795)	(9,633)	(14,208)	(30,313)	(53,611)	(22,140)	(28,515)	(34,141)
11	Deferred tax	123,197	145,105	(29,000)	2,316	(109,952)	123,197	145,520	(29,065)	3,228	(109,952)
12	**Profit after tax and exceptional items**	144,972	156,139	66,251	107,770	376,477	21,968	7,008	106,338	150,070	407,152
13	Minority interest	-	-	-	-	-	-	-	-	-	-
14	**Profit after tax, exceptional items and minority interest**	144,972	156,139	66,251	107,770	376,477	21,968	7,008	106,338	150,070	407,152
15	**OTHER COMPREHENSIVE INCOME**										
15.1	Gains/(Losses) from translating the financial statements of foreign operations	-	-	-	-	-	-	-	-	-	-
15.2	Fair value changes in available for sale financial assets	377,332	(8,235)	234,227	311,254	(49,525)	377,332	(8,383)	234,228	312,374	(48,983)
15.3	Revaluation surplus on Property,plant and equipment	-	695,867	-	-	(3,963)	-	695,867	-	-	(3,963)
15.4	Share of other comprehensive income of associates	-	-	-	-	-	-	-	-	-	-
15.5	Income tax relating to components of other comprehensive income	(113,200)	(89,107)	(70,273)	(93,376)	12,609	(113,200)	(89,063)	(70,273)	(93,712)	12,274
16	**Other Comprehensive Income for the year net of tax**	264,132	598,525	163,954	217,878	(40,880)	264,132	598,421	163,955	218,662	(40,673)
17	**TOTAL COMPREHENSIVE INCOME FOR THE YEAR**	409,104	754,664	230,205	325,648	335,597	286,100	605,429	270,293	368,732	366,479

III. OTHER DISCLOSURES

		BANK 30-Sep-18 KShs'000 Un-audited	BANK 31-Dec-18 KShs'000 Audited	BANK 31-Mar-19 KShs'000 Un-audited	BANK 30-Jun-19 KShs'000 Un-audited	BANK 30-Sep-19 KShs'000 Un-audited
A	**Non-performing loans and advances**					
a	Gross non-performing loans and advances	30,883,810	31,461,391	31,480,900	32,410,269	32,956,126
b	Less: Interest in suspense	4,350,309	4,468,241	4,524,488	4,921,259	5,308,515
c	**Total Non-performing loans and advances (a-b)**	26,533,501	26,993,150	26,956,412	27,489,010	27,647,611
d	Less: Loan loss Provisions	13,274,653	13,875,801	14,452,406	15,124,451	15,594,336
e	**Net NPLs exposure (c-d)**	13,258,848	13,117,349	12,504,006	12,364,559	12,053,275
f	Discounted Value of Securities	12,368,052	12,148,568	11,796,427	11,627,745	11,867,041
g	**Net NPLs exposure (e-f)**	890,796	968,781	707,579	736,814	186,234
2	**Insider loans and Advances**					
a	Directors, Shareholders and associates	24,402	39,144	37,219	35,311	7,996
b	Employees	5,004,460	5,155,000	5,281,345	5,321,865	5,142,022
c	**Total insider loans, advances and other facilities**	5,028,862	5,194,144	5,318,564	5,357,176	5,150,019
3	**Off-Balance sheet items**					
a	Letters of credit, guarantees and acceptances	8,237,060	5,285,441	5,246,336	6,043,674	6,375,636
b	Forwards, swaps and options	182,848	357,391	1,236,082	1,247,567	48,274
c	Other contingent liabilities					
d	**Total contingent liabilities**	8,419,908	5,642,832	6,482,418	7,291.241	6,423,911
4	**Capital Strength**					
a	**Core capital**	2,344,655	2,091,915	2,024,567	1,243,932	993,705
b	Minimum Statutory Capital	1,000,000	1,000,000	1,000,000	1,000,000	1,000,000
c	**Excess/(Deficiency) (a-b)**	1,344,655	1,091,915	1,024,567	243,932	(6,295)
d	Supplementary capital	1,280,188	1,327,239	1,245,406	1,206,558	993,705
e	**Total capital (a+d)**	3,624,844	3,419,154	3,269,973	2,450,489	1,987,410
f	**Total risk weighted assets**	89,196,544	92,765,531	86,218,929	83,111,042	68,272,886
g	**Core capital/total deposit liabilities**	2.5%	2.1%	2.2%	1.3%	1.2%
h	Minimum Statutory Ratio	8.0%	8.0%	8.0%	8.0%	8.0%
i	Excess/(Deficiency) (g-h)	-5.5%	-5.9%	-5.8%	-6.7%	-6.8%
j	**Core capital/total risk weighted assets**	2.6%	2.3%	2.4%	1.5%	1.5%
k	Minimum Statutory Ratio	10.5%	10.5%	10.5%	10.5%	10.5%
l	Excess/(Deficiency) (j-k)	-7.9%	-8.2%	-8.1%	-9.0%	-9.0%
m	**Total capital/total risk weighted assets**	4.1%	3.7%	3.8%	2.9%	2.9%
n	Minimum Statutory Ratio	14.5%	14.5%	14.5%	14.5%	14.5%
o	Excess/(Deficiency)(m-n)	-10.4%	-10.8%	-10.7%	-11.6%	-11.6%
p	**Adjusted core capital/total deposit liabilities***	2.9%	2.8%	3.1%	1.8%	1.4%
q	**Adjusted core capital/total risk weighted assets***	3.1%	3.1%	3.3%	2.0%	1.8%
r	**Adjusted total capital/total risk weighted assets***	4.5%	4.5%	4.7%	3.4%	3.5%
5	**Liquidity**					
a	**Liquidity Ratio**	38.8%	43.1%	40.4%	40.7%	35.7%
b	Minimum Statutory Ratio	20.0%	20.0%	20.0%	20.0%	20.0%
c	Excess/(Deficiency)(a-b)	18.8%	23.1%	20.4%	20.7%	15.7%

Notes

* The adjusted Capital Ratios includes the expected credit loss provisions added back to Capital in line with the CBK Guidance Note issued in April 2018 on implementation of IFRS 9

APPROVAL

The unaudited financial statements are extracts of the financial statements and records of the Bank which were approved by the Board of Directors on 31st October 2019 and signed on its behalf by:

J Nyerere - Chairman, Board of Directors
P Russo - Managing Director & CEO
J. Kania - Company Secretary

The complete set of financial statements, statutory and qualitative disclosures can be accessed on the Bank's website www.nationalbank.co.ke.

They may also be accessed at the Bank's registered office listed hereunder.

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NATIONAL BANK OF KENYA LIMITED
GROUP STATEMENT OF CHANGES IN EQUITY
FOR THE PERIOD ENDED 30 SEP 2019

	Share capital KSh' 000	Property revaluation surplus KSh' 000	Retained earnings KSh' 000	Statutory reserve KSh' 000	Fair value reserve KSh' 000	Total KSh' 000
At 1 January 2018	7,368,906	670,678	(3,525,502)	2,852,654	(132,828)	7,233,908
Impact of initial application of IFRS 9:						-
- Additional impairment loss	-	-	(866,482)	-	-	(866,482)
- Transfer from statutory credit reserve	-	-	1,143,541	(1,143,541)	-	-
	7,368,906	670,678	(3,248,443)	1,709,113	(132,828)	6,367,426
Comprehensive income for the year	-	-		-		-
Profit for the year	-	-	7,008	-	-	7,008
Other comprehensive income:						-
- Fair value loss on financial instruments at FVOCI	-	-	-	-	(3,678)	(3,678)
- Revaluation surplus, net of tax	-	602,098	-	-	-	602,098
Transfer of excess depreciation	-	(15,528)	15,528	-	-	-
Deferred tax on excess depreciation	-	4,658	(4,658)	-	-	-
Transfer to statutory credit reserve	-	-	(1,624,211)	1,624,211	-	-
At 31 December 2018	7,368,906	1,261,906	(4,854,776)	3,333,324	(136,506)	6,972,854
At 1 January 2019	7,368,906	1,261,906	(4,854,776)	3,333,324	(136,506)	6,972,854
Impact of initial application of IFRS 16			(34,984)			(34,984)
	7,368,906	1,261,906	(4,889,760)	3,333,324	(136,506)	6,937,870
Comprehensive income for the year						
Profit for the year			407,152			407,152
Other comprehensive income:						-
- Fair value gain on financial instruments at FVOCI					(41,464)	(41,464)
- Revaluation loss		(6,213)				(6,213)
Transfer of excess depreciation		(16,452)	16,452			-
Deferred tax on excess depreciation		4,936	(4,936)			-
Transfer to statutory credit reserve			(1,226,946)	1,226,946		-
At 30 Sep 2019	7,368,906	1,244,177	(5,698,037)	4,560,270	(177,970)	7,297,345

NATIONAL BANK OF KENYA LIMITED
BANK STATEMENT OF CHANGES IN EQUITY
FOR THE PERIOD ENDED 30 SEP 2019

	Share capital KSh' 000	Property revaluation surplus KSh' 000	Retained earnings KSh' 000	Statutory reserve KSh' 000	Fair value reserve KSh' 000	Total KSh' 000
At 1 January 2018	7,368,906	670,678	(3,711,873)	2,852,654	(132,828)	7,047,537
Impact of initial application of IFRS 9:						-
- Additional impairment loss	-	-	(866,482)	-	-	(866,482)
- Transfer from statutory credit reserve	-	-	1,143,541	(1,143,541)	-	-
	7,368,906	670,678	(3,434,814)	1,709,113	(132,828)	6,181,055
Comprehensive income for the year						
Profit for the year	-	-	156,139	-	-	156,139
Other comprehensive income:						-
- Fair value loss on financial instruments at FVOCI	-	-	-	-	(3,574)	(3,574)
- Revaluation surplus, net of tax	-	602,098	-	-	-	602,098
Transfer of excess depreciation	-	(15,528)	15,528	-	-	-
Deferred tax on excess depreciation	-	4,658	(4,658)	-	-	-
Transfer to statutory credit reserve	-	-	(1,624,211)	1,624,211	-	-
At 31 December 2018	7,368,906	1,261,906	(4,892,016)	3,333,324	(136,402)	6,935,718
At 1 January 2019						
Impact of initial application of IFRS 16	-	-	(34,984)	-	-	(34,984)
	7,368,906	1,261,906	(4,927,000)	3,333,324	(136,402)	6,900,734
Comprehensive income for the year						
Profit for the year	-	-	376,477	-	-	376,477
Other comprehensive income:						-
- Fair value gain on financial instruments at FVOCI	-	-	-	-	(42,006)	(42,006)
- Revaluation loss		(6,213)				(6,213)
Transfer of excess depreciation	-	(16,452)	16,452	-	-	-
Deferred tax on excess depreciation	-	4,936	(4,936)	-	-	-
Transfer to statutory credit reserve	-	-	(1,226,946)	1,226,946	-	-
At 30 Sep 2019	7,368,906	1,244,177	(5,765,953)	4,560,270	(178,408)	7,228,992